Negotiations – an introduction

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Work-in-progress paper

To reference use: Larsson, J. (2020) "Negotiations – an introduction", working paper, Jönköping, Jönköping International Business School

Key words: keynote, intercultural, negotiations

1. Introduction

It is impossible to think about a world without negotiations, and in fact most of us negotiate several times a day. But does that imply that all of us are skilled negotiators? Probably not but negotiation skills can be trained and developed (e.g. Thompson, 2002). Not all negotiations are hard but negotiations in business often entail complex situations that involve people at different levels, from different companies' etc. making negotiations a complex activity (Raiffa, 2002).

The purpose of this short paper is to introduce the reader to the field of negotiations with some examples also of intercultural negotiations. The paper also directs the reader to valuable references for further studies. Parts of the paper is based upon a key-note speech held by the author at the Nordic Intercultural Communication Conference 2015 (Larsson, 2015).

2. Negotiations

2.1 Two kinds of negotiations

If one wants to divide negotiations in different groups one way can be to distinguish between distributive and integrative negotiations (Raiffa, 2002).

Distributive negotiations are also called win-lose negotiations (Raiffa, 2002; Thompson, 2012) and assumes that there is a fixed pie to be divided between the negotiating parties. In such a case the negotiator tries to get a bigger piece of the pie than the counterpart. As one can imagine this is not so fruitful in a situation where the parties strive for a long term relationship and as consequence we most often associate that kind of negotiations to short term relationships.

Integrative negotiations are also called win-win negotiations (Raiffa, 2002; Thompson, 2012). In integrative negotiations is assumed that there is no fixed pie to divide, i.e. the negotiators try to expand the pie. This is a good strategy when you strive for a long term

relationship. However, a bit surprisingly research shows that this scenario is less likely in intercultural negotiations (Brett & Okumura, 1998)

3. The Negotiation Process

The negotiation process consists of seven phases, namely the:

1. Preparations phase
2. Greeting phase
3. Introduction phase
4. Argumentation phase
5. Compromise phase
6. Closure phase
7. Realization phase

In the preparation phase the negotiator gathers information. The more information the better, knowledge is truly power in negotiations.
You should also set objectives and rank them. A good strategy can be to establish a BATNA. The term BATNA is an abbreviation for "best alternative to a negotiated agreement". (Fisher & Ury, 1981) and is the point where it is better to leave the negotiation without coming to an agreement.
Another useful strategy in preparation for negotiations is to set three objectives namely:
1. The worst acceptable outcome (c.f. BATNA)
2. A reasonable (fair) outcome
3. The best possible outcome

In the greeting phase the negotiator aims to get to know the counterpart and to create trust. Try to be interested and do not underestimate this part. The length of the greeting phase depends upon culture. In Sweden commonly a couple of minutes talking about the weather.

The next phase is the introduction phase in which the host makes a summary of the background and tries to establish a foundation for cooperation. The agenda is presented and it is an advantage to control the agenda.

Never start with controversial issues, rather try to start with a question that you all can agree upon and thereby creating e a good atmosphere for the negotiation
If you want to get the negotiation process started, be quiet and see what happens…

After the introduction the argumentation phase stats. In this phase arguments to achieve a better deal is presented. The negotiators should try to be balanced and have an open discussion and showing respect for the counterpart

In the compromise phase concessions is often made. Advice here is to never accept demands one by one. Only agree to a complete and final offer in the compromise phase.

Close the deal in a way that makes both party's feel like winners. In the closure phase you should also summarise the discussion and write down in a protocol what is agreed upon.

The final phase is the realization phase. It is a very important phase and in complex selling it is of the here the relationship building starts. A successful realisation lay the foundation for the next negotiation.

4. General Advice in negotiations

To become a good negotiator takes a lot of practice. Prepare well for the negotiation and practice with colleagues and friends. Some general advice to negotiators can be to:

- Listen
- Avoid ultimatums
- Try to keep calm
- Always try to have your counterpart give the first bid
- Never give more than you need to
- Present demands in writing
- Never lie

Hopefully this paper have given you some basic knowledge about negotiations and triggered your interest for the same. In the globalized world often we negotiate with

persons from other countries and cultures. That brings us to the final part of this paper, namely intercultural negotiations.

5. Intercultural Negotiations

A further challenge in negotiations is presented when the counterparts not only represent different companies but also different countries and cultures (Liu, Friedman, Barry, Gelfand, Zhang, 2012; Francis, 1991) which highlights the importance of intercultural negotiations.

In the table 1 below a short comparison between Swedish and Chinese Negotiation styles is given:

Table 1 Negotiation styles comparing Sweden and China

Swedish Style	Chinese Style
Structured	Respect to elder, experience wisdom
Well prepared	Guanxi – relationships
Formal	Mianzi – face
Time is scarce (Time is money)	Bao – reciprocity
Focus on the contract, close the deal	Time is abundant
Sweden according to Hofstede (2001)	China according to Hofstede (2001)
High individualism	High collectivism
Low power distance	High power distance
Low masculinity	High masculinity

From table 1 above we understand that it is important to know about the culture that one will negotiate with. One question that one can ask is how much one should adapt to different cultures. When in Rome act as romans? Research here is inconclusive (Brett & Okumura, 1998; Francis, 1991; Liu et al, 2012; Thompson, 2012). What research do show us is that it is important to understand norms and different cultures. Be curious and try to ask questions to ensure you understand the counterpart

Acknowledge and respect differences both on individual and societal level but be careful to stereotype.

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